

into it and learned how to make “good” philanthropic decisions. Eighteen months later, he was president of the family foundation and a major success, a total transformation.

(We have mixed feelings about philanthropy. Most of it is probably a waste of money—or worse. But it appears to be a good way to keep some family members focused on a common goal.)

Options or even obligations to participate must be created for heirs. Deliberately include all heirs; resist the tendency to exclude those who do not seem to fit in. Find roles for them to play.

3. While striving for excellence should be encouraged, too much competition can wreak havoc on a family.

The Martell family had built a \$200 million company and educated their sons at the best universities, with both attending first-rate business schools. Competition between the sons was encouraged; they were always trying to outperform one another. They competed in auto purchases, home building, and managing sectors of the family company. The behavior became destructive to the family business, threatening its financial stability and hurting the brothers’ relationships with the family.

The parents had to change their patterns of rewards and recognition. Once they did, proper communication was restored, trust was rebuilt, and the competition was brought down to a healthy level.

4. Avoid mixed messages between parents; there should be a single, unified vision for the family.

The father was a leading European industrialist who had built a multibillion-dollar chemical manufacturing company. He did not believe in shared leadership of the family business. The mother resented the preferential treatment she felt that the father had given the eldest son. Her dream was to see all of their offspring collaborating and looking after one another’s interests. She described the deep sense of shame she felt every time someone asked why the other three children did not work in the family business.

How did they work it out? The mother and father spoke openly of their hopes and ambitions. They agreed upon a continuity program